

S-Move Dealer — direct-from-business checkout

Pre-planning brief (research stage, NOT yet roadmapped)

Prepared 2026-06-30. Feature: a basket & checkout on business/seller pages so customers buy directly from a business; a paid feature businesses opt into. This brief is to decide whether it earns a roadmap slot.

1. Verdict

Feasible, with a clean regulatory path — but it's the largest feature floated so far (~70% net-new) and carries ongoing support/liability weight. **Do not build yet. Validate demand and settle the key decisions first.** The cheapest, highest-value next step is asking real businesses if they'd use and pay for it.

2. The regulatory fork (the thing that decides everything)

The moment a customer pays a *business* through your app, you're in marketplace-payments territory. Two paths:

-  **Money flows through S-Move** (you collect, then pay the business). This means you "hold/control third-party funds" → under the UK Payment Services Regulations 2017 you'd likely need **FCA authorisation as a payment institution**: safeguarding rules, capital requirements, audits, ongoing compliance. Heavy, slow, expensive. Avoid.
-  **Stripe Connect** (the standard marketplace pattern). Businesses connect their own Stripe accounts; **Stripe** (already regulated) holds and routes the money into Stripe-titled accounts; you only give pre-agreed instructions and take an automatic platform fee. You **never possess the funds, so you stay out of FCA scope**. This is how Etsy, eBay and every small marketplace operate.

Decision: Stripe Connect, full stop. Everything below assumes it.

Recommended Connect flavour

- **Account type: Standard.** Businesses self-onboard via Stripe's hosted flow; **Stripe handles all KYC/identity checks**; each business gets its own Stripe dashboard for payouts and reconciliation. This removes two of the biggest build items (payout dashboard + reconciliation) — Stripe provides them for free.
 - **Charge type: direct charges** (the charge is created on the *business's* connected account, with an `application_fee` to you). This makes the **business the merchant of record** — they own the sale, the refunds, the chargebacks, and consumer-law responsibility for the goods. That minimises your liability and support load. You are a platform connecting buyer and seller, not the seller.
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3. What you already have vs. what's net-new

Source: codebase scan of E:\S-Move\Marketplace App\.

Piece	Today	Effort
Basket	✅ global (bookmarks-based, no seller split)	reuse + segment by seller
Stripe checkout	✅ but single account — all money to S-Move	extend to Connect routing
Orders / order_items	✅ global, no <code>seller_id</code>	add seller scoping
Seller storefronts	✅ read-only (no buy button)	add cart UI
Stripe Connect	❌ none anywhere	build from scratch (core blocker)
Seller onboarding to receive money	❌ <code>payment_methods</code> field is display-only	new (Stripe hosted)
Per-seller order isolation	❌	moderate
Application-fee / commission logic	❌	moderate (webhook)
Seller payout/reconciliation	❌	free if Standard accounts
Seller feature-gating / subscription	❌ no plan field on sellers	new

Net: the order/basket/checkout *plumbing* exists for your own stock, but it's entirely centralised. Routing money to a business is greenfield. **Standard Connect accounts shrink the build meaningfully** by handing payouts/reconciliation/KYC to Stripe.

4. Revenue model — CHOSEN: subscription only

Decision (Alex, 2026-06-30): flat monthly subscription, no commission. Business connects their own Stripe; money goes customer → business 100%; S-Move never touches it. S-Move charges a recurring feature fee, collected by Direct Debit. This is the cleanest position of all — S-Move is purely a SaaS feature provider, not in the payment flow even via an application fee.

Why this is the right call: - **Simplest regulatory footprint** — no commission means not even arguably "in the payment flow". - **Smaller build** — deletes application-fee logic, per-sale accounting, commission reconciliation and payout tracking entirely (see §5). - **Predictable revenue**, GMV-independent, and models cleanly as another flat monthly fee like sponsored spots.

The fee is a service supplied to the business → **VATable** (S-Move VAT-registered from 1 Jul). The goods-sale VAT and Stripe's own processing fee (UK cards ~1.5% + 20p — verify current rate) sit entirely with the business.

Subscription billing mechanism

- **Stripe Billing** (recommended) — recurring card or Bacs Direct Debit; one vendor since you're already on Stripe. Handles "£X/month automatically" off the shelf.

- **GoCardless** — pure UK Direct Debit, purpose-built for recurring DD. Alternative if you want DD specifically.

Pricing the monthly fee: treat it like the sponsored-spot exercise — what a local business will pay for "a real shop/checkout on the app". Likely £15–£40/mo range; validate in §6 step 1.

Rejected alternatives: commission-only (more complex, in the payment flow, GMV-dependent) and hybrid (double-charging reads as greedy vs the honest ethos [[project_dealer_model]]).

5. Risks & ongoing weight

- **Support load (biggest for a solo founder).** Even with Stripe handling money, buyers and businesses will ask *you* about refunds, "where's my money", disputes. Direct charges push responsibility to the business, but you'll still field questions.
 - **Build size vs. capacity.** With the subscription-only model (no commission/reconciliation/payouts to build), a realistic MVP is **~2–4 weeks focused work** — basket UI on storefronts, per-seller orders, Connect Standard onboarding, checkout-on-connected-account (no fee), and subscription billing + feature gate. Still a real chunk alongside running removals, but far smaller than the ~9–15 weeks a commission/marketplace build would need.
 - **Adoption risk.** Many businesses already have a website, Square, or PayPal. Your pitch must be "we bring you buyers already shopping on the app" — not just "we have a checkout."
 - **Reputation/trust.** If a business doesn't deliver, buyers blame the app. You'd need basic quality control and clear "platform, not seller" terms.
 - **Separation from your own stock.** Your own stock currently checks out to S-Move's master account; the special S-Move seller account ([[project_dealer_smove_seller]]) and SMOVE_SELLER_ID must be handled so internal sales don't route through Connect.
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6. Recommended pre-roadmap sequence (cheap → expensive)

1. **Validate demand first (days, ~£0).** Ask 10–20 businesses from your canvassing lists ([[project_dealer_canvassing]]): "If the app let customers buy from your page and we took ~4% per sale, would you switch your selling here?" If few say yes, stop — no roadmap slot. This is the single most valuable step.
 2. **Settle the decisions** (this brief's forks): Standard accounts + direct charges + commission-only. Confirm.
 3. **Technical spike (1–2 days).** In Stripe test mode: onboard one connected account, take one direct charge with an application fee. Proves the core end-to-end and de-risks the estimate.
 4. **Legal (template + light review).** Platform T&Cs and a buyer/seller agreement making clear S-Move is a platform, the business is the merchant. Refunds/Consumer Rights Act sit with the business.
 5. **Only then roadmap** — ideally as a **paid pilot** with the handful of businesses who said yes in step 1, MVP scope (Standard + direct charges, no custom payout UI).
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7. Open questions to answer before it earns a roadmap slot

1. Do real businesses want it, and what monthly fee will they pay? (Step 1 answers this — test a price, e.g. £20–30/mo.)
 2. ~~Revenue model~~ — DECIDED: subscription only, no commission.
 3. Hands-off (business ships/collects) or does S-Move want a fulfilment/delivery role? (Hands-off is far simpler and lower-liability.)
 4. Can you carve ~2–4 weeks for an MVP, or does it wait until you've hired?
 5. How does it sit beside your own-stock checkout without tangling the money flows?
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8. Where it plugs into the financial model

Not added to the forecaster yet (it's not roadmapped). When/if it is, it becomes a fifth income line:

$\text{commission revenue} = \text{GMV through the platform} \times \text{your \%}$. GMV is driven by business count $\times$ sales per business — so it scales with the same growth lever as everything else. Easy to add later.

Sources

- Stripe Connect account types & pricing — <https://stripe.com/connect/pricing> , <https://docs.stripe.com/connect/charges> , <https://docs.stripe.com/connect/destination-charges>
- UK regulation (PSR 2017, holding client funds, agent/exemption) — <https://www.fca.org.uk/firms/consider-if-you-provide-payment-services> , <https://handbook.fca.org.uk/handbook/PERG/15/3.html>
- Connect keeps platforms out of regulatory scope — <https://stripe.com/guides/how-psd2-impacts-marketplaces-and-platforms>
- Competitor fees — <https://www.webgility.com/blog/marketplace-fees-amazon-ebay-etsy-walmart>